

Pearson 1860

The year is 2021, and Pearson 1860, the oldest bicycle business in the world, prides itself on building bikes of the highest quality—all of them assembled in state-of-the-art, company-owned facilities in London. Centralized production allows the business significant quality control, but like most businesses, Pearson 1860 doesn't make all its component parts in-house. Instead, it relies on manufacturers in other countries to produce parts, including seats, brackets, tires, and frames.

This strategy allows the company to manage costs in an increasingly competitive bicycle market, where it faces hundreds of global and regional rivals, including Giant, Trek, and Specialized (Mordor Intelligence n.d.). Sales of high-end road bikes and off-road bikes, like those Pearson 1860 offers, generate more than 50% of global revenues in this \$50 billion market.



Figure 1. The *Ever Given* blocking passage in the Suez Canal

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In March 2021, Pearson 1860 faced one of its biggest challenges yet. A quarter-mile-long container ship, the *Ever Given*, ran ashore in the Suez Canal, blocking the passage of all other ships for six days (Figure 1). Although this crisis in Egypt was more than 2,000 miles away from London, it directly impacted Pearson 1860, delaying delivery of bicycle frames by more than five months during the critical spring and summer sales seasons.

Would Pearson 1860 be able to continue relying on a global network of suppliers, or would it need to shift its supply chain back to England, where it all began? Guy and Will Pearson, the fifth generation running their family's bicycle business, had a difficult

decision to make. The Pearson brothers not only had to be mindful of the future of the business but also its past.

Background

The “1860” in the company name reflects the year the business was founded in Sutton, England, a mere 10 miles away from its current flagship store. The company was innovative from the start. Founder Tom Pearson had adapted his skills as a blacksmith when he saw the opportunity to repair high-wheel bicycles called penny-farthings in the early bike industry. His son Harry

transformed the business into a full-time bike manufacturer, and the company produced bikes to support war efforts during World War II. In the 1960s, Pearson 1860 expanded its product lines to include bikes for racing and long-distance cycling. In 2020, Pearson 1860 shifted to selling only its own-brand bikes—and selling them online. “We’re proud of our history but are equally proud of our innovation—and these bikes represent both,” Will Pearson said (Arthurs-Brennan 2019).

Pearson 1860 designs and assembles every bicycle at its London facilities, making each one a “unique creation, meticulously hand-built and quality-checked,” priced between \$2,000 and \$10,000 (Pearson n.d.). Many parts come from a network of high-quality suppliers. For example, to provide a finished “Rough with the Smooth” gravel bike, Pearson 1860 partners with a Japanese company, Shimano, that provides the shifters, chain set, and brakes; they buy bottom brackets from Full Speed Ahead in Washington State, seats from WTB in California, bar tape from Italian company fizik, hand-built wheelsets from British company DCR, and tires from either Chinese tire maker Arisun or Italian tire maker Pirelli.

Pearson 1860’s strategy has allowed the company to meet or beat competitors’ prices and focus on making the best bikes, relying on other companies to specialize in the best chain sets, seats, tires, and so on. But this strategy involves risk—one that became evident when the *Ever Given* incident forced the entire global supply chain into a state of panic, holding up delivery of hundreds of millions in cargo stored in the ship’s 18,300 shipping containers. Although the ship was freed after a week, it was impounded by Egyptian authorities and mired in a legal battle that prevented it from delivering its cargo for months.

Included in the stranded cargo was over \$100,000 worth of Pearson 1860 steel bicycle frames making their way from Asia to England (Ziady 2021). The frame is the structural core of any bike, and delayed frame delivery forced Pearson 1860 to slow production and miss its busiest sales period, hurting company performance and causing headaches for the Pearson brothers.

The *Ever Given* incident led many businesses to rethink their supply chains, including where they sourced products from and how these products and components were transported to manufacturing facilities and warehouses. In the aftermath, Cinelli, a famous Italian bicycle brand, reported that for the first time since 1980, steel frame production would be brought in-house, with a new facility in Milan—where the company is based. Cinelli (2023) cited three reasons:

- Increasing the ability to build stronger, lighter frames with more unique features as members of the design, welding, and engineering teams can be in the same facility, allowing for more dialogue and collaboration

- Enabling the creation of the world’s shortest and most integrated performance bicycle frame production supply chain, with the added benefit of a lower carbon footprint¹
- Allowing the company to serve customers more effectively with faster delivery and enhanced after-sales care

Pearson 1860’s Options

Like Cinelli, the Pearson brothers would have to consider whether to continue buying bike frames from China or whether to manufacture the frames in-house.

Keeping production in Asia would maintain low production costs, increasing profit potential and helping the company compete against innovative high-end competitors. However, it would also mean longer lead times,² which would leave the company vulnerable to global supply chain delays. Additionally, while overseas production often maximizes profits, it doesn’t allow for the same level of design innovation and quality control as Cinelli would have with its new facilities.

Bringing frame production in-house would give Pearson 1860 more control over production, lessen lead times, and allow for the highest level of design innovation. However, they would need to invest in a new facility and employ more staff to manufacture the frames. The average manufacturing worker in London earns about \$21,000 to \$38,000 USD (compared to about \$13,000 in Shenzhen, China), and the company would also need to factor in the cost of employee benefits—plus the costs of maintaining the facility even when it wasn’t producing frames. This in-house option would eliminate almost all supply chain risk, but it could challenge Pearson 1860’s ability to offer competitive pricing, ultimately harming profitability.

Would the risk of a global supply chain continue to be worth the cost savings?

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¹ A carbon footprint is the amount of greenhouse gas emissions attributed to an activity, such as global shipping.

² Lead time is the total time required to fulfill an order, from the time the customer places the order to final delivery.

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